

WHEN TO BUY?

Before we decide upon the time to make a buy, we will take into account if we are investing small amounts regularly or a lump-sum amount at once.

REGULAR SMALL INSTALLMENTS

In most cases, we will be making small and regular investments. The way to do this is through a Systematic Investment Plan, also known as SIP. SIP route invests in mutual funds a certain amount each month or each quarter. The notion behind SIP is that because we are buying the same mutual fund at high, low, and all different prices, over years, we end up buying the mutual funds at average valuations. This way, we systematically ignore the risk of market valuations using SIP.



However, the trouble begins if we stop our SIP plans when the market begins to fall. We had invested when the price was high and stopped investing when the market started falling. Now, we are unable to average out our purchasing price and we end up buying at high prices only. If we do not interrupt our SIP investment plan, we buy the average prices of the market and this works fine to meet our financial goals.